# Portfolio Strategy for Luxury Partner Brands: Strategic Guidelines

*Henrik Uggla* and Maryam Lashgari***

*This paper initially defines and elaborates the conception of luxury partner brand from theoretical sources in luxury branding, conspicuous consumption, co-branding and semiotics. It is suggested that a luxury partner brand is a self-expressive brand with the highest perceived quality and a super premium price, positioned in brand alliance as a modifier (modified) brand. In addition, it is argued that the luxury partner brand is comparatively more elastic than the luxury master brand. Furthermore, strategic guidelines for management of luxury partner brands intended for management are presented.*

## Introduction

According to Kapferer and Laurent (2009), contemporary luxury branding offers a response to a request for social re-stratification in a society without inherited ladders of stratification and psychological distance between people, in contrast to hereditary social stratification where only groups such as kings, priests and the nobility could experience luxury:

> Clearly luxury is a marker, which is why there is such a need for brands. With luxury recreating some degree of social stratification, people in a democracy are therefore free within the limit of their financial means—to use any of its components to define themselves socially as they wish.

From this perspective, luxury brands such as Hermes, Louis Vuitton, Don Perignon Champagne or Lamborghini extend far beyond their use-value to a sign-value, representing a complex blend of underlying socioeconomic constructs relating to social stratification, money, quality, self-expression, and conspicuous and ostentatious consumption. This paper first defines the luxury brand, deveops the notion of the partner brand and presents the luxury partner brand. Finally, the semiotic image emerging from the luxury partner brand is discussed.

## The Luxury Brand

Vigneron and Johnson (1999) used prestige as a point of reference to measure the element of luxury in a brand. They assert that the 'prestige' inherent in a brand consists of perceived quality, perceived unique value, perceived hedonic value, perceived social value

* Associate Professor, Department of Industrial Economics and Management (INDEK), KTH Royal Institute of Technology, Stockholm, Sweden. E-mail: Henrik.uggla@indek.kth.se

** Ph.D. Student, Strategic Brand Management, Department of Industrial Marketing (INDEK), KTH Royal Institute of Technology, Stockholm, Sweden. E-mail: maryam.lashgari@indek.kth.se

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and perceived conspicuous value. Furthermore, prestigious brands are sub-categorized into three types of brands: up-market brands, premium brands and luxury brands. From a country perspective, Kapferer and Bastien (2008) unfolded a dichotomy based on two different approaches to luxury brand building—European versus American luxury brands (Figure 1). The first is concerned with the quality of the product and a history behind the brand with brands like Dior, Givenchy and Chanel. The second is based on invented brand stories and the atmosphere created by the outlets dedicated to their brands, including among others, Ralph Lauren and Tiffanys.

**Figure 1: Lamborghini – Luxury Brand**

*Source: www.lamborghini.com*

## The Partner Brand

Partner brand associations are defined here as associations secondary to the identity and more immediate territory of a host brand, the leader brand (Keller, 2003; and Uggla, 2004). These brands are associated secondary brands that are linked to the leader brands that define the product class and customer base. Partner brands are characteristically modifying brands:

> In the co-branding architecture of the Ford Explorer Eddie Bauer Edition, Ford Explorer is the leader brand that is modified up-market through the Eddie Bauer partner brand. In this case, the leader brand reaches up to a higher market segment through the premium associations transferred through the partner brand. (Uggla, 2004, p. 105).

The modifying nature of the partner brand can be traced back to cognitive psychology and conceptual combination theories. The success of a co-branding venture between two brands is dependent upon the level of congruity between the involved brands (Walchli, 2007; and Uggla and Åsberg, 2010). Partner brands can be components, products, persons, events or even places with desirable reputation and high levels of brand awareness. Partner brands are often linked downstream in the value chain to leader brands. Intel processors, GORE-TEX fabrics, Nutrasweet artificial sweetener, Dupont supplex and LYCRA are ingredient partner brands that cannot be bought outside the leader brand offering (Riezebos, 2003). Nonetheless, partner brands can also be manufacturers' brands aligned in certain marketing context. Indian oil is a partner brand to the VISA leader brand in a co-branded credit card in India. Chiquita is a partner brand to the Beechnut leader brand in its baby food line, and Baileys Original Irish Cream is a partner brand to

Häagen-Dasz ice cream (Blackett and Boad, 1998). More specifically, Chiquita and Baileys are ingredient co-brands, brands positioned as ingredients; but in contrast to GORE-TEX and Intel, these brands can be bought outside the immediate co-branding context. Strong celebrity endorsers such as Cindy Crawford, Michael Jordan and Ronaldo can also be positioned as partner brands. Partner brands contribute with brand equity to the dominant leader brand and its association base through an image transfer of meaning in either of two forms of collaboration: asymmetrical or symmetrical. In an asymmetrical collaboration, one brand is generally more dominant than the other in all respects. In contrast, symmetrical collaboration refers to a more balanced relationship between the partner and the leader brand. Interbrand defined symmetrical co-branding as:

> Co-branding is a form of cooperation between two or more brands with significant customer recognition, in which all the participants' brand names are retained. It is usually of medium to long-term duration and its net-value creation potential is too small to justify setting up a new brand or a legal joint venture (Blackett and Boad, 1998).

Aaker (2004) extended this definition of co-branding to include both strategic and tactic marketing programs, and Riezbos (2003) suggested that co-branding entails that both brands can be bought outside the purchase brand alliance context. In some cases, partner brand associations become so strong and important as drivers for end consumer decision that they become a natural part of the overarching brand structure of the leader brand and transform into a partner sub-brand. For instance, the Michael Jordan partner brand had that character in relation to Nike (e.g., Nike Air Jordan) and the Eddie Bauer has a similar relationship to Ford Explorer (Leuthesser and Suri, 2003). Finally the partner brand can act as a main driver for the whole purchase decision in a particular brand alliance context. For example, the consumers may perceive that they buy GORE-TEX shoes or kitchen appliances from porsche design, although these brands were positioned as partner-brands from ECCO shoes and Siemens kitchen appliances. Among other alliances, Louis Vuitton has a co-branded computer mouse (together with Hong Kong-based Pisa) and a co-branded car (Chrysler PT Cruiser Louis Vuitton edition).

## The Luxury Partner Brand

The luxury partner brand is a luxury brand entering into specific product-market context role (i.e., brand constellation co-branding, co-promotion or ingredient branding (Aaker, 2004)) jointly with another brand. The luxury partner brand represents a different and extended product-market scope dimension, compared to the flagship luxury brand (Riezebos, 2003). For instance, Ferrari is a luxury brand in the highest market segment of the sports car industry above Porsche, but in the same segment as Lamborghini and Koenigsegg (Figure 2).

**Figure 2: Ferrari – Luxury Partner Brand**

In contrast, in the Ferrari-Acer computer co-branding effort, however, Ferrari does not appear as a leader brand for the sports car category but as a supplementary luxury-partner brand to Acer computer, transferring associations with luxury, design and instant self-expression. In other words, Ferrari represents a super-premium partner association that expands the meaning of the Acer corporate brand (Uggla, 2006). The partner brand concept also implies order. Put differently, the luxury partner brand will often be the secondary brand (Hillyer and Tikoo, 1995) in relation to a primary brand that defines the category and customer base, henceforth called 'the leader brand'. For example Acer computer is the leader brand in relation to Ferrari since it defines the product class (computer laptops) and owns the customer base (potential buyers of laptops). According to Okochi (2007), the luxury partner brand should contribute to a win-win situation, be controlled through limited editions and have synchronicity with the other brand.

Based on the theoretical construct of the partner brand, semiotic theory and the very nature of the luxury brand, it becomes possible to develop a preliminary psycho-semiotically underpinned definition for the luxury partner-brand as[1]:

> A luxury partner brand is a self-expressive proposition-signifier with high perceived quality and a super-premium price, positioned in brand alliance as a modifier (modified) brand and with the ability to convert established sign-conventions and contribute to a brand democratization process.

This semiotically oriented definition has several implications for trademark law, strategic brand management and the general debate about the cultural versus commercial brand discussion, globally.

## The Semiotic Luxury Partner Brand Image

From a brand image perspective of the individual consumer, a luxury brand can either be a symbol, an icon or an index (Eco, 1979; and Kapferer, 1998). The pragmatic brand image will be the outcome of several factors such as the cognition of the consumer, the brand identity and the presence of a composite concept or a conceptual combination (Park *et al.*, 1996). A symbol is an arbitrary sign based upon convention. We have become used to the idea that the Lamorginhi brand and potent symbolism represent extreme luxury sport cars and that Louis Vuitton signifies luxury bags. Second, an icon finally is based on similarity and looks like its object. The HERMES luxury brand is a symbol for artisan hand-crafted luxury goods, however it is also an icon with respect to the relationship between the logo and

**Figure 3: Hermes – Luxury Brand**

[1] This is the authors own preliminary definition based on a theoretical pre-study of luxury branding (Uggla, 2007).

its underlying brand heritage with being a Saddle maker for the aristocracy in France (Figure 3).

An index represents an inherent existential link between the brand and the product. George Clooney is an index for Nespresso premium brand of Espresso coffee in Europe, endorsing certain brand values such as premium quality and timeless style. The intrinsic values of George Clooney becomes transferred to the product (Espresso Coffe) (Mc Cracken, 1989).

## Guidelines

- A portfolio strategy for leveraging luxury partner brands should start with a unique understanding of the brand portfolio objectives of the leader brand initiating the collaboration. There may be a will to create brand relevance, strong brands, synergy or brand leverage.
- Create a distinctive brand role for the co-branded product, for example: a line extension silver bullet brand for H&M through the collaboration with Versace (H&M for Versace) or a strategic brand (Figure 4).

**Figure 4: Karl Lagerfeld and H&M**

*Source: H&M*

- A powerful brand portfolio strategy will then be based on a unique combination of strategic creativity based on the master brand's intentions and fine-tuned consumer insights into different segments based on need-states micro segmentation. Such an approach must be emphatic to the fact that customers within a general segment may have different preferences based on their needs and wants. The Acer-Ferrari laptop corresponds to a self-expressive user profile, very different to traditional computer users in the

price-value segment, also satisfied by Acer. A good starting point for such an approach would be a simple segment/need-states grid that discriminates between these two dimensions.

- In the next step, a brand architecture for the alliance should be developed and the specific brand role for the luxury partner-brand should be defined and developed. The partner-brand may be positioned as a genuine symmetric co-brand or as an asymmetric ingredient brand in relation to the host brand.
- The Graphic portfolio should be congruent with the intentions for the alliance at a perceptual level. If the objective is to create the impression of a highly self-expressive Ferrari laptop, the brand structure should be endorsed by Acer (i.e., a manufacturer's quality sign). If Acer would prefer to minimize risk, it should present the alliance as 'a special edition limited in time'.
- Implement the luxury brand strategy in a channel congruent with the overarching brand portfolio strategy of the firm and design a control system that makes it possible to assess its strategic contribution.

## Conclusion

Given the increasing use of brand alliances and luxury branding, increased attention from the research community is warranted. The current conceptual semiotic research extends the growing body of brand alliance literature, simultaneously contributing to important facets of the luxury branding discourse (Walchli, 2007; and Kapferer and Bastien, 2008). In this sense, the luxury partner brand might be an important concept for marketing insights in the future by offering insights at the intersection of brand leveraging and luxury. In addition, the present paper gives important methodological and epistemological contributions to a discourse development at the intersection of cognitive psychology and semiotic pragmatism (i.e., psycho-semiotics). The semiotic language categories of icon, index and symbol enable a significant deepening of the psychological dynamics surrounding partner brands underneath the immediate market surface. Accordingly, every luxury partner brand corresponds strategically to a semiotic category of an icon, index or a symbol through representative, existential or conventional alignment. A Godiva luxury chocolate is a symbol, however traces of Godiva in a Ben and Jerry ice cream is an index and a luxury modifer that may affect the brand image of the leader brand (i.e., Silver Bullet brand).

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